

RESPECT THE FUNK · COMPANY OVERVIEW · JULY 2026

RemixKit

Generate once. Remix infinitely.

The infrastructure layer that turns one music release into thousands of fan-made, rights-clean, fully-disclosed videos – at a marginal cost of a fraction of a cent per fan.

GENERATIVE MEDIA

CREATOR MARKETPLACE

PROVENANCE-NATIVE

SCALE-TO-ZERO

THE MARKET SHIFT

Music supply exploded. Marketing capacity didn't.

106,000 new tracks now reach streaming services **every day** – and 96% of them come from independents with no marketing department behind them.

106,000

New tracks delivered to streaming services **per day** – up 7% from 99,000 in 2024.

Luminate 2025 Year-End Music Report

253M

Total tracks sitting on audio streaming services at the close of 2025.

Luminate 2025 Year-End Music Report

96.2%

Of daily new ISRCs are **not** major-label distributed. Majors fell to 3.8%.

Luminate 2025 Year-End Music Report

\$5.5B

Paid to independent artists & labels by Spotify in 2025 – half of all royalties.

Spotify Loud & Clear 2026

The structural consequence

Every one of those 106,000 daily releases needs video assets to exist on TikTok, Reels and Shorts. Almost none of them get any. The bottleneck moved from **making music** to **making each release marketable** – and that bottleneck is now a software problem.

THE PROBLEM

Nine in ten releases are commercially invisible.

253 million tracks, by streams earned in 2025



88% of all tracks earned 1,000 streams or fewer in 2025. Source: Luminate 2025 Year-End Music Report.

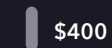
And the obvious fix doesn't work

Buying streams with ads is a **~50× loss**. Our own research priced it against primary sources:

AD SPEND TO DRIVE 100,000 STREAMS



ROYALTIES THOSE 100,000 STREAMS PAY



Meta/TikTok CPM modelling & Spotify per-stream rates – /research Pillars 02, 04, 08.

Organic UGC is the only channel with non-negative economics

Fan-made video is the one distribution mechanism that isn't a loss per unit. But it is **unpredictable by nature** – the top 10% of songs take 96% of all TikTok creations. You cannot buy your way into it, and no vendor can promise it.

So the winning strategy is volume, not optimisation

When outcomes are lottery-shaped, the edge isn't a better ticket – it's **more tickets at a radically lower cost per ticket**, with the plumbing correct so a win actually pays. That is a cost-structure problem. That is what we built.

WHY NOW

Three curves crossed in the last 18 months.

01

Generation cost collapsed

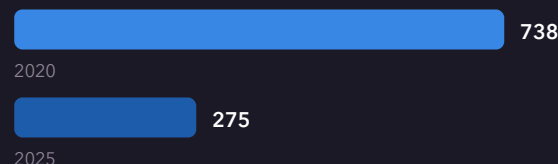
Text-to-video that cost hundreds of dollars a clip in 2024 now costs cents to low dollars, served through unified SDKs. Producing a dozen bespoke video assets per release became economically trivial – for the first time.

ENABLES THE KIT

02

Virality got cheaper – and worth less

SPOTIFY STREAMS PER 100K TIKTOK POSTS



–63% per post. Time-to-100k-posts fell 340 → 48 days. *Chartmetric*. Volume is now mandatory, which makes **cost per asset** the deciding variable.

03

Disclosure became enforceable

In July 2026, NPR reported that labels routinely instruct creators **not** to disclose paid promotion. FTC exposure is **\$53,088 per violation**, and AI-generated media is drawing parallel provenance rules.

Compliance stops being overhead and becomes a **purchasing requirement** – one incumbents are structurally on the wrong side of.

The window: generation is cheap enough to mass-produce assets, volume is now required to matter, and the industry's default practice just became a legal liability. A platform that is cheap, high-volume and disclosed-by-default fits all three at once.

One release in. A remix economy out.

Five layers, each of which works standalone and compounds with the others.



1 · Kit Generator

Upload an owned master, set the hook window. We orchestrate multiple generative video, image and audio models into a pack of vertical, remix-ready templates – in minutes, per release.



2 · Composite Clips ♦

Fans make videos **together**. Pick a format, record a slot, invite friends by link to fill the rest. We composite the segments into one finished clip. Every composite requires an invite – this is the growth engine.



3 · Creator Marketplace

Every contributor gets a tracked link, a leaderboard position and a share of the label's reward pool. Fans become a measurable, compensable distribution channel.



4 · Provenance & Disclosure

Every asset carries a hash-verified manifest **embedded inside the media file** – which model made it, from which prompt, for which release, with what lineage. Disclosure terms are enforced by the funnel, not requested politely.



5 · Cost & Analytics Ledger

Per-release, per-asset, per-tenant cost attribution from day one, exported warehouse-ready. Labels see exactly what each campaign cost and what it returned. Nobody else in this category shows the bill.

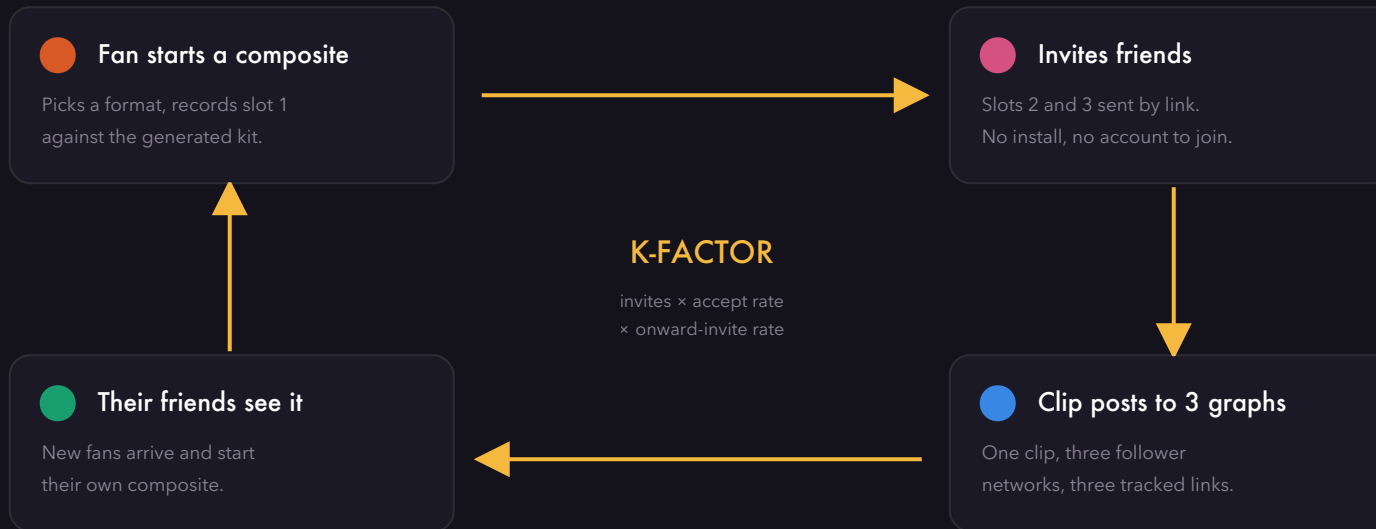
What we deliberately don't sell

- Virality guarantees
- Stream-count attribution (technically impossible)
- Bought engagement or bot networks

Each is dead for a sourced reason in our research. Selling them is how this category earned its reputation.

Every video made needs a friend to finish it.

Composite clips make invitation a structural requirement of creation, not a marketing ask.



Instrumented from day one – invites sent, open rate, fill rate, time-to-complete, contributors per composite.

Why it works where seeding fails

Paid seeding stops the day the budget stops – our research found no rigorous evidence it ever cascades. A friend asking you to fill slot 2 of 3 is **social obligation**, which converts without spend and produces content that is organic by construction.

It targets the one proven predictor

The strongest academic finding on TikTok virality is that **network position predicts spread – the audio doesn't**. A composite clip enters three follower graphs instead of one, by design. We can't make a song good enough to spread. We can multiply the graphs it enters.

Expensive AI runs once per release. Cheap assembly runs once per fan.

All-in cost per participating fan, as a release scales



Illustrative model at stated assumptions – \$12 one-time generation per release kit, ~\$0.02 per composite (CPU + storage + delivery). Not a measured figure; the *shape* is the claim, and it follows directly from the architecture.

THE ARCHITECTURAL CLAIM

A fan action **never triggers a model call**. Generation is amortised across every fan who ever remixes that release; assembly is deterministic ffmpeg – no GPU, seconds, fractions of a cent.

What this means commercially

- Gross margin **improves** with virality instead of degrading.
- A release going viral is a **storage read**, not a compute event.
- Content-addressable reuse cuts the dominant cost line further on repeat generations.
- Idle infrastructure cost is **~\$0** – scale-to-zero throughout.

This is the difference between a product that gets expensive when it works and one that gets cheaper.

Designed for a 1000× spike with no redeploy.

Virality is spiky and unpredictable by nature. The architecture assumes that rather than hoping against it.

Generate once, remix infinitely

Expensive generative work is per-release; cheap deterministic work is per-fan. No fan action ever reaches a model.

Nothing large transits the server

Browser talks to object storage directly via presigned URLs. The API moves JSON only – request volume is decoupled from bandwidth entirely.

Long work is always queued

Every generation and composite is an idempotent, keyed background job. HTTP handlers stay under 200ms, always.

Serve from cache, not origin

Finished kits and composites are immutable and CDN-fronted. At peak the hot path is storage; compute barely participates.

Tenant is a partition key everywhere

Storage prefix, database row, metric, provenance manifest. Multi-tenancy is cheap on day one and near-impossible to retrofit.

Stateless, scale-to-zero

State lives only in Postgres and object storage. Idle cost ≈ \$0; scale-out is horizontal and unbounded.

Deliberately deferred

Sharding, multi-region, Kubernetes, custom schedulers, realtime sockets. None are needed before the above saturates. Writing down what we're *not* building is how the roadmap stays honest.

Provenance is native, not bolted on

Every generated asset and every fan composite carries a hash-verified manifest with full lineage – finished clip back to the exact models and prompts. Verifiable by anyone, offline, from the file itself.

Three users. One flywheel.

Independent labels

Beachhead. 5-50 artists, no in-house video team, releasing continuously and competing against majors with 1/100th the budget.

Buys: cost per release collapses; every campaign is documented and disclosed.

Serious DIY artists

The professional middle class streaming has created – 13,800 artists earned \$100k+ from Spotify alone in 2025; 1,500 cleared \$1M.

Buys: a marketing department in software, priced like a subscription.

Fans & creators

Not customers – **supply**. They get a genuinely fun way to make something with friends, plus tracked credit and a share of the reward pool.

The marketplace side that makes the label side worth paying for.

Market sizing – built bottom-up, method shown

LAYER	BASIS	SIZE
TAM – creator marketing	Global influencer/creator marketing spend, 2026	\$34-44B
Adjacent pool	US social creator revenue 2026, 59% sponsored content	\$21.1B
SAM – professional music tier	~100-200k commercially active acts & indie labels × \$49-99/mo	\$59-240M ARR
SOM – 3-year target	2-4% of SAM, subscription + marketplace take rate	\$3-8M ARR

TAM estimates vary materially by research firm (\$32.6B-\$47.8B for 2026) – we quote the range rather than pick the flattering end. SAM is bottom-up from Spotify Loud & Clear earnings distribution, not a top-down percentage of TAM.

Revenue model

- **Subscription** – per label/artist, by release volume. The predictable base.
- **Usage** – generation credits above plan, at transparent cost-plus.
- **Marketplace take rate** – a percentage of reward pools disbursed to fans.
- **Compliance tier** – provenance archive, disclosure audit trail and export for labels who need it defensible.

The take rate is the line that grows with the flywheel rather than with headcount.

Five things that are hard to copy.

01

Margins that improve with success

Per-fan marginal cost approaches a floor of cents with no model call. Competitors who generate per-user hit a wall exactly when they start working. This is a structural advantage, not a discount.

02

A real viral loop, instrumented

Composites cannot be made alone. Invitation is a requirement of the product, not a growth hack bolted onto it – and K-factor is measured from day one.

03

Regulatory tailwind

Disclosure-by-default and embedded provenance are exactly what the FTC is now enforcing and what AI-media rules are converging on. Incumbent practice is the violation.

04

A research moat that says no

Thirteen research pillars and ~2,440 sourced claims underpin this product – and most of them **killed** an idea. We know what doesn't work here with citations, which is why we're not spending the next two years discovering it.

05

A first tenant that is also a proving ground

Respect the Funk is customer zero. Every feature ships against a real catalogue and a real release before it ships to anyone else. The product cannot drift into demo-ware.

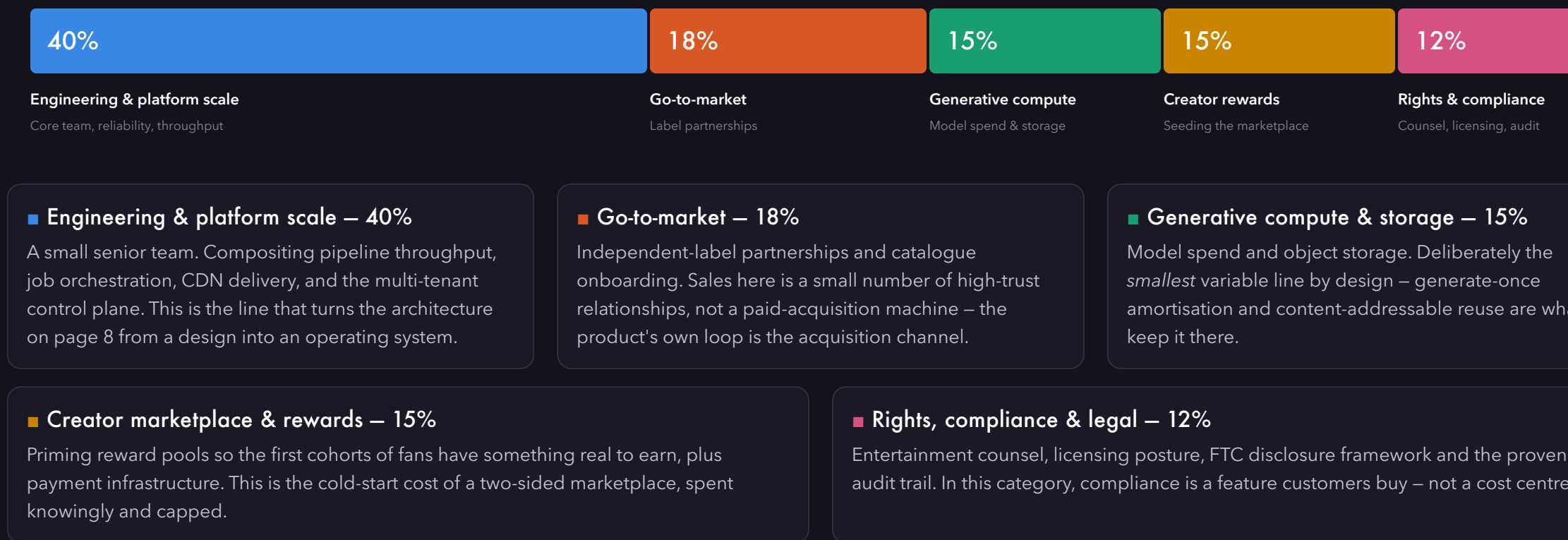
The honest risk

Fan adoption of collaborative creation is the assumption to test, and we have not yet tested it at scale. Breakout remains a lottery – we sell cost structure and compliance, never outcomes.

Stated plainly because a deck that hides this is the one to worry about.

Where investment goes.

Allocation for an 18-month runway to a validated K-factor and a paying label cohort.



WHERE WE ARE

Research done. Product spec'd. Building now.

COMPLETE

Research foundation

13 pillars, ~6,900 lines, ~2,440 sourced claims across platform APIs, ad economics, rights, licensing, cost modelling and UGC adoption. Every dead end priced before it was funded.

IN FLIGHT

v1 platform · 14 days

Kit generator, provenance ledger, cost ledger, creator attribution and composite clips – shipping against a live release from the Respect the Funk catalogue.

NEXT

Cohort & K-factor

Onboard an independent-label cohort, measure real invite and fill rates, and establish whether collaborative creation converts at the rate the design assumes.

The one number that decides this company

Not streams. Not impressions. **The share of invited friends who actually fill their slot.** Above roughly 35%, the loop compounds and cost per fan collapses toward the floor on page 7. Below it, we are a very good asset generator with a strong compliance story.

We will know within one cohort, and we have built the instrumentation to know it honestly.

35%

SLOT FILL RATE – THE THRESHOLD

SOURCES & STANDARDS

Every number in this deck, and where it came from.

CLAIM	SOURCE	CLAIM	SOURCE
106,000 tracks/day; 253M catalogue; 88% ≤1,000 streams; 120.5M at 0-10 streams; majors 3.8% of daily ISRCs	Luminate 2025 Year-End Music Report	Top 10% of songs = 96% of TikTok creations	arXiv 2405.14999 (quasi-experiment, UMG withdrawal)
\$11B paid in 2025; ~\$5.5B to independents; 13,800 artists ≥\$100k; 1,500 ≥\$1M	Spotify Loud & Clear 2026	Streams per 100k posts 738 → 275; time-to-100k-posts 340 → 48 days	Chartmetric
US social creator revenue \$21.1B in 2026; 59% sponsored content	EMARKETER, Feb 2026 forecast	Ad spend ~\$20-25k per 100k streams; royalties ~\$300-500	/research Pillars 02, 04, 08
Global influencer marketing \$32.6-47.8B (2026 estimates)	Multiple firms – range quoted deliberately	Labels instructing creators not to disclose; \$53,088 per FTC violation	NPR, 13 July 2026; 16 CFR 255
		Network position predicts virality, audio does not	arXiv 2111.02452

Our standard, and what it forbids

Every number carries a primary source. **"Unverified" is a valid answer** – marked rather than guessed. Prices are dated because pricing decays. Where estimates conflict, we quote the range instead of the flattering end.

Three figures this industry repeats constantly – "\$0.02-0.05 per stream," vendor accuracy percentages, and "+43% Spark Ads CVR" – **do not exist where they are attributed**. We found that by checking. It is why we check.

Unit-economics figures on page 7 are an explicit model at stated assumptions, not measured results. Market sizing on page 9 is bottom-up with its method shown. Neither is presented as fact.